10. INCOME TAXES

Income taxes are provided pursuant to SFAS No. 109, Accounting for Income Taxes. The statement requires the use of an asset and liability approach for financial reporting for income taxes. If it is more likely than not that some portion or all of the deferred tax asset will not be realized, a valuation allowance is recognized. Accordingly, as the realization and the use of the net operating loss carryforward is not probable at December 31, 2000 or 1999, the tax benefit of the loss carryforward has been offset by a valuation allowance of the same amount.

As of December 31, 2000, the Company had approximately $6,250,000 and $3,125,000 of federal and state operating loss carryforwards, respectively, available to reduce future federal and state tax liability through the year 2020 for federal purposes and 2005 for state purposes.

10. INCOME TAXES - Continued

The composition of deferred tax assets at December 31, are as follows:

	2000	1999
Total deferred tax assets - net operating loss carryforwards	$ 2,125,000	$ 991,000
Total valuation allowance	(2,125,000)	(991,000)
Total deferred tax assets	$ --	$ --

The valuation allowance will be evaluated at the end of each year, considering positive and negative evidence about whether the asset will be realized. At that time, the allowance will either be increased or reduced; reduction could result in the complete elimination of the allowance if positive evidence indicates that the value of the deferred tax asset is not longer impaired and the allowance is no longer required.

At December 31, 1999, deferred taxes consisted of a net tax asset of $991,000 due to operating loss carryforwards of $2,915,444, which was fully allowed for in the valuation allowance of $991,000. The valuation allowance offsets the net deferred asset for which there is no assurance of recovery. The change in the valuation allowance for the years ended December 31, 1998 and 1999 were $1,700 and $989,300, respectively. Net operating loss carryforwards will expire in 2020.

The difference between the expected statutory rate of 34% and the actual effect tax rate of zero is due to the nondeductibility of domain name amortization and the valuation allowance for the deferred asset related to the net operating loss carryforwards.